Cryptocurrency Fundamentals

Module 3 Study Guide

Setting Up Your First Wallet

This guide covers every lesson of the module, using only words and figures from the lessons themselves. Work through it after watching the lessons, then use the checklist at the end to test yourself.

Lesson 1: Choosing Between Hot, Cold, and Custodial Wallets

In this lesson: Understand Custodial Wallets; Explore Free Hot Wallets; Evaluate Cold Storage

Key points

- Custodial wallets provide third-party management
- Hot wallets offer free online convenience
- Cold wallets deliver maximum offline security

Examples from the lesson

- We are starting Module 3, "Setting Up Your First Wallet", with Lesson 1: "Choosing Between Hot, Cold, and Custodial Wallets".
- Today, our main objective is to compare these three core wallet options so you can select the right fit for your personal security needs and budget.
- You wouldn't keep your lifetime savings in your back pocket while liming at a fete in Hasely Crawford Stadium, but you also wouldn't lock up TT$20 cash inside a heavy bank vault when you just need to buy doubles for breakfast in Curepe.
- To choose the right balance, let's walk through a practical budget example for securing a total portfolio of TT$10,000.
- For everyday spending or active trading, you might keep TT$1,000 in a free hot wallet on your phone.
- For long-term savings, you would put the remaining TT$9,000 into a cold storage setup.
- To protect that TT$9,000, you purchase a hardware wallet device for TT$800.
- In this strategy, your cold storage assets account for TT$9,000, while your total out-of-pocket setup fee is just the TT$800 hardware cost.
- By using this combination, your total secure portfolio equals TT$10,000 across both wallets.
- More importantly, your setup cost of TT$800 represents only 8 percent of your total TT$10,000 portfolio value.
- This allocation keeps your daily spending flexible while protecting 90 percent of your total wealth offline in cold storage.
- By splitting your portfolio—keeping TT$1,000 in a hot wallet for daily use and TT$9,000 in a cold wallet—you secure 90 percent of your wealth for a modest TT$800 setup fee.

- In our next lesson, Lesson 2: "Creating and Backing Up Your Wallet", we will take the step-by-step actions to generate your wallet seed phrase and store it safely offline.

Lesson 2: Creating and Backing Up Your Wallet

In this lesson: Downloading Software Safely; Generating & Verifying Seed Phrase; Portfolio Sto

Key points

- Download wallet strictly from verified official sources
- Write seed phrase manually on paper and verify offline
- Store redundant paper backups in two separate secure locations

Examples from the lesson

- We are in Module 3, Setting Up Your First Wallet, and today we are covering Lesson 2: Creating and Backing Up Your Wallet.
- However, instead of a heavy steel door, it uses a master key made of twelve or twenty-four random words called a seed phrase.
- Let us start with Step 1 of our checklist: downloading the software securely.
- Step 2 is creating your wallet and generating your recovery phrase.
- Write them in the exact numbered order shown, from word one to word twelve.
- Step 3 is verifying your seed phrase and setting a strong local PIN.
- Once verified, set a strong six-digit passcode or biometric lock on your app to prevent anyone who picks up your unlocked phone from opening your wallet.
- Imagine you decide to move a total value of TT$ 1,000 into crypto assets.
- You allocate TT$ 800 into Bitcoin for long-term holding and TT$ 200 into Ethereum for exploring decentralised applications.
- Together, your total crypto portfolio value equals TT$ 1,000.
- Now, if you keep all TT$ 1,000 in self-custody and back up your seed phrase on paper, your total protected balance remains TT$ 1,000.
- But if you leave that TT$ 1,000 on an unverified exchange without control of your seed phrase, your secure self-custody balance drops to TT$ 0.
- Step 4 is establishing safe physical backup habits right here in Trinidad and Tobago.
- Finally, Step 5 is creating a secret secondary backup location.
- Today, you learned how to safely download a non-custodial wallet, write down and verify your recovery phrase offline, set a strong local PIN, and secure your paper backup against physical damage using two separate locations.
- In our next lesson, Lesson 3, we will cover Securing Your Wallet Against Common Threats, where you will learn how to spot phishing scams, malicious smart contracts, and fake customer support agents looking to trick you out of your hard-earned funds.

Lesson 3: Securing Your Wallet Against Common Threats

In this lesson: Layered Defense & 2FA; Phishing Prevention; Network Safety; Software Updates

Key points

- Layer password and app-based 2FA @ "strong, unique password and authenticator-app two-factor authentication"
- Bookmark sites and protect seed phrases @ "bookmark official websites to avoid phishing traps"
- Secure your internet connections @ "avoid managing your wallet over public Wi-Fi networks"

Examples from the lesson

- I’m your instructor, and you are tuning in to Cryptocurrency Fundamentals, Module 3, Setting Up Your First Wallet.
- In Lesson 3, Securing Your Wallet Against Common Threats, we are going to build an airtight defense system around your digital assets.
- But having a backup is only half the battle if someone tricks you into handing over the keys to your front door.
- Today, you will learn how to apply two-factor authentication, generate strong passwords, and build anti-phishing habits so your crypto stays strictly in your hands.
- Your first line of defense is a strong, unique password for your wallet app, combined with time-based Two-Factor Authentication, or 2FA, using an authenticator app like Google Authenticator rather than plain SMS text messages.
- Imagine you purchase TT$1,000 worth of cryptocurrency to start your journey.
- If you leave your wallet secured with a weak, repeated password and no two-factor authentication, a simple data breach on another website can leak your credentials.
- A hacker automated script attempts that password across popular platforms and gains access, resulting in a total loss of your full TT$1,000 balance, leaving you with zero dollars.
- Now let’s look at the exact same balance of TT$1,000 protected by proper security habits.
- You start with your initial balance of TT$1,000 in your wallet.
- First, you set up a strong, unique sixteen-character passphrase, which stops ninety-nine percent of automated brute-force password attacks, keeping your TT$1,000 balance completely safe.
- Second, you activate an authenticator app for two-factor authentication, adding a second layer that blocks unauthorized logins even if someone manages to guess your password, preserving your entire TT$1,000 balance.
- To protect yourself from phishing, you must adopt three strict daily habits.
- Protecting your crypto wallet requires a multi-layered defense system, starting with a strong, unique password and authenticator-app two-factor authentication.
- In our next module, Module 4, Navigating Crypto Exchanges and Transactions, we will step out into the wider market and explore how to safely buy, sell, and transfer digital assets

without taking unnecessary risks.

Recap checklist — can you say each one?

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Lesson 2: Creating and Backing Up Your Wallet

- ☐ Download wallet strictly from verified official sources
- ☐ Write seed phrase manually on paper and verify offline
- ☐ Store redundant paper backups in two separate secure locations

Lesson 3: Securing Your Wallet Against Common Threats

- ☐ Layer password and app-based 2FA @ "strong, unique password and authenticator-app two-factor authentication"
- ☐ Bookmark sites and protect seed phrases @ "bookmark official websites to avoid phishing traps"
- ☐ Secure your internet connections @ "avoid managing your wallet over public Wi-Fi networks"